



CHAPTER 16.

An Act to amend the law with respect to the making of contributions out of the Exchequer and by local authorities in respect of housing accommodation provided for the working classes, and with respect to arrangements between local authorities and other persons for the provision of housing accommodation; and for purposes connected with the matters aforesaid. [30th March 1938.] A.D. 1938.
—

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Government Contributions.

1.—(1) Subject to the provisions of this Act, the Minister shall undertake to make, and shall make, in respect of each new house completed after the beginning of the year nineteen hundred and thirty-nine by way of housing accommodation provided by a local authority and approved for the purposes of this section by the Minister, being housing accommodation to which this section applies, payment to that local authority of an annual contribution of the amount of five pounds ten shillings for a period of forty years : General provision for contributions in respect of housing accommodation provided by local authorities.

Provided that no contribution shall be payable under this section in respect of any house in respect of which

A.D. 1938. a contribution is payable under the next following section.

(2) The annual amount of any contribution which, under this section, the Minister must make, and undertake to make, in respect of a flat provided in a block of flats on a site the cost of which as developed, (ascertained in accordance with the Schedule to this Act) exceeds one thousand five hundred pounds per acre, shall, instead of five pounds ten shillings, be the appropriate amount prescribed by that Schedule.

(3) If, with respect to any proposals of the council of any non-county borough or urban district to provide any housing accommodation to which this section applies, the Minister, upon an application made by the borough or district council, is satisfied after consultation with the county council and having regard to any conditions which may be laid down by the Treasury,—

(a) that the houses in the borough or district which are occupied by members of the working classes are let at rents substantially less on the average than the average of the rents of houses so occupied in non-county boroughs and urban districts in England generally, and

(b) that when the amount of the expenditure incurred or to be incurred by the borough or district council under the enactments relating to housing is considered in relation to the financial resources of the borough or district, the provision of the said accommodation would impose an undue burden on the borough or district, unless the annual amount of any contribution payable under this section in relation to that accommodation exceeds five pounds ten shillings,

then, if the Minister thinks fit so to determine, the annual amount of any contribution which under this section he must make, and undertake to make, in respect of any house provided by the borough or district council in carrying out the said proposals (being a contribution which apart from this subsection would be of the annual amount of five pounds ten shillings) shall, instead of that amount, be six pounds ten shillings.

(4) The last preceding subsection shall have effect in relation to any proposals of the council of a rural

A.D. 1938.
—

district to provide any housing accommodation to which this section applies, as that subsection has effect in relation to proposals of the council of any non-county borough or urban district subject however to the modification that for any reference in that subsection to the borough or district council, to the borough or district, or to non-county boroughs and urban districts there shall be substituted a reference to the rural district council, to the rural district or to rural districts, as the case may be.

(5) This section applies to housing accommodation which—

(a) is rendered necessary—

(i) by displacements of persons occurring in connection with any action taken by the local authority under the principal Act for the demolition of insanitary houses, for dealing with clearance or improvement areas or for closing parts of buildings, or

(ii) by displacements, occurring in the carrying out of re-development in accordance with a re-development plan, from houses which are unfit for human habitation and are not capable of being rendered fit for human habitation at reasonable expense, or

(b) is required for the purpose of the abatement of overcrowding in the area of the local authority, or rendered necessary by displacements, occurring in the carrying out of re-development as aforesaid, from houses other than such as are mentioned in sub-paragraph (ii) of the preceding paragraph.

(6) As respects the administrative county of London exclusive of the City of London, both the London County Council and the council of a metropolitan borough shall be local authorities for the purposes of this section except subsection (3) thereof.

(7) Subsection (2) of section eighty-nine, subsection (3) of section one hundred and sixty-nine and subsection (2) of section one hundred and seventy-two of the principal Act shall have effect as if the references in those subsections to section one hundred and five of that Act included references to this section.

A.D. 1938.

—
Contribu-
tions in
respect of
agricultural
housing
accommo-
dation
provided
by local
authorities.

2.—(1) Subject to the following provisions of this Act, the Minister shall undertake to make, and shall make, in respect of each new house completed after the beginning of the year nineteen hundred and thirty-nine which, with the approval of the Minister, is provided by the council of a county district by way of housing accommodation required for the agricultural population of the district, payment to that council of an annual contribution of the amount of ten pounds for a period of forty years :

Provided that if, with respect to any proposals of such a council to provide such housing accommodation as aforesaid, the Minister, upon an application made by the council, is satisfied, after consultation with the county council and having regard to any conditions which may be laid down by the Treasury, that the provision of the said accommodation would, without an increase of any contribution which would otherwise be payable under this section in relation to that accommodation, impose an undue burden on the county district by reason of—

- (a) the exceptionally high cost of providing the accommodation, and
- (b) the amount of the rents which it will be practicable for the council of the county district to charge for the accommodation,

then, if the Minister thinks fit so to determine, the annual amount of any contribution which under this section he must make, and undertake to make, in respect of any house provided by the last-mentioned council in carrying out the said proposals shall, instead of ten pounds, be such greater amount not exceeding twelve pounds as the Minister may determine.

(2) The council of a county district shall secure that a number of houses equal to the number of houses (if any) in respect of which contributions are payable under this section to the council are reserved for members of the agricultural population, except in so far as the demand for housing accommodation in the county district on the part of members of the agricultural population can be satisfied without such reservation.

(3) Section one hundred and thirty-six of the principal Act shall apply for the purposes of this section

A.D. 1938.

as it applies for the purposes of the provisions of the principal Act which relate to Government contributions to the expenses of local authorities in providing accommodation available for displaced persons; and subsection (2) of section eighty-nine, subsection (3) of section one hundred and sixty-nine and subsection (2) of section one hundred and seventy-two of the principal Act shall have effect as if the references in those subsections to section one hundred and five of that Act included references to this section.

3.—(1) Where the council of a county district are satisfied that in any particular case housing accommodation required for members of the agricultural population of the district could more conveniently be provided by some person other than the council, they may, subject to any conditions imposed by the Minister, make arrangements for the provision of such accommodation by that person; and if the Minister is satisfied that the arrangements are such as to secure that any house provided in pursuance thereof—

Contributions in respect of agricultural housing accommodation provided by persons other than local authorities.

(a) is reserved for members of the agricultural population, and

(b) if let, is let at a rent not exceeding—

(i) the weekly rent which, by any order of the appropriate agricultural wages committee in force at the time of the letting, is determined as the value at which the benefit or advantage of a cottage is to be reckoned as payment of wages in lieu of payment in cash for the purpose of any minimum rate of wages fixed by the said committee under the Agricultural Wages (Regulation) Act, 1924, or

14 & 15
Geo. 5. c. 37.

(ii) if no such rent is so determined, such weekly rent as may be determined by the council of the county district, and

(c) is suitable in respect of its size and construction, then, subject to the following provisions of this Act, the Minister may undertake to make, and may make, in respect of each new house which, with his approval, is provided in pursuance of the arrangements, payment to that council of an annual contribution of such amount not exceeding ten pounds as the Minister may determine, being a contribution payable for a period of forty years; and in that event the council shall pay

A.D. 1938. by way of annual grant to the owner of the house
— an amount not less than the contribution paid by the
Minister :

Provided that no contribution under this section shall
be payable in respect of any house for any year, unless—

(i) the conditions specified in paragraphs (a) and
(b) of this subsection are observed in relation to
that house throughout that year, and

(ii) the council of the county district certify to the
Minister that all reasonable steps have been
taken to secure the maintenance of that house
in a proper state of repair during that year.

(2) Where a house provided under arrangements
made in pursuance of this section is let together with
other land at a single rent, such proportion of that
rent as the council of the county district may determine
shall be deemed, for the purpose of paragraph (b) of
subsection (1) of this section, to be the rent at which
the house is let.

Contribu-
tions to be
paid out of
Exchequer.

4. The sums required for the payment of any
contribution which the Minister is required or authorised
by the preceding sections of this Act to make shall be
paid out of moneys provided by Parliament; and any
such contribution as aforesaid, not being a contribution
payable under the last preceding section, shall be deemed
for the purposes of the principal Act to be an Exchequer
contribution.

Review of
contribu-
tions.

5. Section one hundred and nine of the principal
Act (which provides for a review of certain contributions)
shall have effect subject to the following amendments,
that is to say:—

(a) for subsection (1) of that section there shall be
substituted the following subsection:—

“(1) In the year nineteen hundred and forty-
one, after the beginning of October in that year,
and in each third succeeding year, after the
beginning of October in that year, the Minister
shall, in connection with contributions which
he is required to make under section one or
section two of the Housing (Financial Provi-
sions) Act, 1938, take into consideration the
amount of expenses likely to be incurred by
local authorities, in the period of three years

beginning with the next following first day of April, in connection with operations relevant to the question whether or not contributions are payable under that section, and also the amount of expenses already incurred by local authorities in connection with such operations"; and

A.D. 1938.
—

- (b) in subsection (3) of that section for the words "nineteen hundred and thirty-seven, be the "thirty-first day of March nineteen hundred and thirty-eight" there shall be substituted the words "nineteen hundred and forty-one, "be the thirtieth day of September nineteen "hundred and forty-two";

and subsection (2) of that section shall be deemed not to have come into operation until the date of the passing of this Act.

Contributions out of Rates.

6.—(1) A local authority to whom the Minister has, under section one of this Act, undertaken to make a contribution in respect of any house shall, for each financial year during the period of sixty years from the completion of the house, make out of the general rate fund a contribution of the annual amount, calculated by reference to a period of sixty years, equivalent to half the annual amount of the Minister's contribution payable for a period of forty years :

Local
authorities'
contribu-
tions.

Provided that, where the annual amount of the contribution which the Minister has so undertaken to make is six pounds ten shillings, the contribution to be made under this subsection by the local authority shall be of the annual amount, calculated as aforesaid, equivalent to two pounds fifteen shillings payable for a period of forty years.

(2) Any council of a county district to whom the Minister has, under section two of this Act, undertaken to make a contribution in respect of any house shall, for each financial year during the period of sixty years from the completion of the house, make out of the general rate fund a contribution of the annual amount, calculated by reference to a period of sixty years, equivalent to one pound a year payable for a period of forty years.

A.D. 1938.

(3) Where a local authority are of opinion that any contribution payable by them under subsection (1) or subsection (2) of this section should be provided by annual instalments during a period of less than sixty years, the Minister may, upon an application made by that local authority, direct that the said subsection (1) or subsection (2), as the case may be, shall have effect in relation to that contribution as if for any reference in that subsection to a period of sixty years there were substituted a reference to such period, not being less than forty years, as the Minister thinks proper.

(4) It shall be a condition of the right of a local authority to receive any contribution which, for the purposes of the principal Act, is or is to be deemed to be an Exchequer contribution, that the local authority shall make out of the general rate fund the contributions which they are required by section one hundred and fourteen of the principal Act and by this section to make; and in section one hundred and fourteen of the principal Act the words from "and it shall be a condition" to the end of the section shall cease to have effect.

(5) The following provisions of the principal Act, that is to say, section eighty-six, subsection (1) of section one hundred and twenty-nine and subsection (2) of section one hundred and thirty, shall have effect as if any reference in those provisions to the Eighth Schedule to that Act included a reference to this section.

County
councils'
contribu-
tions.

7.—(1) In respect of each house in respect of which the Minister—

- (a) has, under section one of this Act, undertaken to make to the council of any county district payment of an annual contribution of the amount of six pounds ten shillings, or
- (b) has, under section two of this Act, undertaken to make to the council of a county district payment of an annual contribution of the amount of ten pounds,

the council of the county of which the county district forms part shall make, for each financial year during the period of forty years from the completion of the house, payment of a contribution of the amount of one pound to the council of the county district.

(2) In respect of each house in respect of which the Minister has, under section two of this Act, undertaken to make to the council of a county district payment of an annual contribution of any amount in excess of ten pounds which is payable by virtue of the proviso to subsection (1) of that section, the council of the county of which the county district forms part shall make, for each financial year during the period of forty years from the completion of the house, payment to the council of the county district of a contribution of the amount of one pound plus a sum equal to the excess. A.D. 1938.

(3) If, under section one hundred and thirteen of the principal Act as amended by this Act, the amount or the payment of any contribution payable under section two of this Act to the council of a county district is reduced, or, as the case may be, suspended or discontinued, by the Minister on the ground that the council have failed to discharge the duty imposed upon them by the last-mentioned section to reserve housing accommodation for members of the agricultural population, the county council shall not be under any liability to make to the council of the county district, under the preceding provisions of this section, any contribution for any year in respect of which the Minister's contribution is not paid in full.

(4) Subsection (1) of section one hundred and twenty-nine of the principal Act shall have effect as if the reference in paragraph (c) of that subsection to section one hundred and fifteen of that Act included a reference to this section.

*Amendments as to arrangements between local authorities
and other persons.*

8. Subsection (1) of section ninety-four of the principal Act (which enables local authorities to make arrangements with housing associations for the provision of housing accommodation) shall have effect as if for paragraphs (a) to (c) of that subsection there were substituted the following paragraph:—

Amendment
of section
ninety-four
of the
principal
Act.

“(a) to provide any housing accommodation which the local authority are empowered under this Act to provide;”.

A.D. 1938.

Continuation of Government contributions in certain cases where houses become vested in local authorities.
13 & 14
Geo. 5. c. 24.

9. Where, after the commencement of this Act, any house which has, with the assistance of a local authority given under section two of the Housing, &c. Act, 1923, been provided by some person other than a local authority becomes vested in the local authority by reason of any default on the part of that person or his successor in title, then, if at the time of the vesting, the house is a house in respect of which a contribution is payable by the Minister under section one of the said Act, the Minister may continue to make payments by way of that contribution as if the house had been provided by the local authority.

Transitional and supplementary provisions.

Transitional provisions.

10.—(1) No contribution shall, under any of the provisions of sections one hundred and five to one hundred and eight of the principal Act or under subsection (2) or subsection (3) of section one hundred and fifteen of that Act, be payable by the Minister or a county council in respect of any new house completed after the beginning of the year nineteen hundred and thirty-nine.

(2) Any house provided by a local authority, with the approval of the Minister, by way of housing accommodation other than such as is mentioned in paragraph (a) of subsection (5) of section one of this Act, being a house for the erection of which no contract has been entered into by that authority before the third day of February nineteen hundred and thirty-eight, shall be treated for the purposes of this Act as if it were a house completed after the beginning of the year nineteen hundred and thirty-nine, notwithstanding that it was in fact completed before the beginning of that year.

(3) Where, by virtue of the preceding provisions of this section, a contribution which the Minister or a county council would otherwise be required or authorised by the principal Act to make is not payable, any duty or power of the Minister or the council to give an undertaking to make such a contribution shall cease.

Any such undertaking which has been given by the Minister or a county council before the date of the passing of this Act shall, if and so far as it relates to a

house in respect of which a contribution becomes payable under section one or section two of this Act by the Minister or the county council, be deemed for the purposes of the principal Act not to have been given; and the obligations to contribute which are imposed on local authorities by section one hundred and fourteen of that Act shall be limited accordingly..

A.D. 1938.

11.—(1) In this Act—

(a) the expression “the principal Act” means the Housing Act, 1936; and

(b) subject as hereinafter provided, the expression “block of flats” means a building which contains two or more flats, and which consists of three or more storeys exclusive of any storey constructed for use for purposes other than those of a dwelling;

Interpre-
tation, and
construc-
tion of Act
with prin-
cipal Act.
26 Geo. 5. &
1 Edw. 8.
c. 51.

and (without prejudice to the operation of subsection (3) of section one hundred and eighty-eight of the principal Act) any reference in this Act to a house shall be construed as including a reference to a flat:

Provided that, for the purposes of this Act, a building shall, notwithstanding that it does not in all parts exceed two storeys in height, be deemed to be a building of three storeys, if the Minister is satisfied that the total accommodation provided in that building is not less than the accommodation which could have been provided in a building on the same superficial area if the building had in all parts been of three storeys.

(2) This Act shall be construed as one with the principal Act; and in the principal Act the expression “the Housing Acts” shall, unless the context otherwise requires, be construed as including this Act.

12.—(1) This Act may be cited as the Housing (Financial Provisions) Act, 1938; and the principal Act and this Act may be cited together as the Housing Acts, 1936 and 1938.

Short title,
citation and
extent.

(2) This Act shall not extend to Scotland or to Northern Ireland.

A.D. 1938.

SCHEDULE.**Section 1 (2). PROVISIONS FOR ASCERTAINING THE VALUE OF CERTAIN SITES, AND THE AMOUNT OF GOVERNMENT CONTRIBUTIONS IN RESPECT OF FLATS IN BLOCKS ON SUCH SITES.**

1. The annual amount of any contribution which, by virtue of subsection (2) of section one of this Act, is payable under that section in respect of a flat shall, if the flat is provided in a block of flats on a site of such cost as is specified in the first column of the following Table, be the corresponding sum specified in the second column of that Table :—

TABLE.

Where the cost per acre of the site as developed—	£	s.	d.
exceeds £1,500 but does not exceed £4,000 -	11	0	0
exceeds £4,000 but does not exceed £5,000 -	12	0	0
exceeds £5,000 but does not exceed £6,000 -	13	0	0
exceeds £6,000 but does not exceed £8,000 -	14	0	0
exceeds £8,000 but does not exceed £10,000 -	15	0	0
exceeds £10,000 but does not exceed £12,000 -	17	0	0
exceeds £12,000 -	17	0	0 increased by £1 0s. 0d. for each additional £2,000, or part of £2,000, in the cost per acre of the site as developed :

Provided that the annual amount of the contribution payable by virtue of this Schedule in respect of any one flat shall not exceed twenty-six pounds.

2. For the purposes of this Act the cost of a site as developed means the cost, or, in the case of a site not purchased by the local authority under any enactment relating to housing, the value as certified by the Minister, of the site, including—

- (a) any such expenses as in the opinion of the Minister are requisite for making the site available for the purpose of the provision of the flats, being expenses incurred

by the local authority in the construction or widening of streets, the construction of sewers or the execution of any special works rendered necessary by the physical characteristics of the land, and A.D. 1938.
—

- (b) any such expenses incurred in respect of other matters as the Minister, with the consent of the Treasury, may determine to be expenses properly forming part of the cost of making the site available for that purpose.

The amount of the expenses to be included under this paragraph shall be such as may be estimated by the authority and approved by the Minister.

3. In determining the number of acres in a site, any land which is acquired for the purpose of the provision of the flats, and which is used as new street space on which the block of flats will abut, shall be deemed to form part of the site.

4. If the Minister thinks fit so to determine in relation to any two or more buildings, each containing two or more flats, on sites each of which is contiguous with the other or another, as the case may be, or is superficially separated therefrom by a street or public highway only, the several buildings shall, for the purposes of this Schedule, be treated as if they were one building on a single site the cost of which as developed was the sum obtained by adding together the cost of each of the actual sites as developed.

Printed by EYRE AND SPOTTISWOODE LIMITED

FOR

SIR WILLIAM RICHARD CODLING, C.B., C.V.O., C.B.E., the King's Printer of
Acts of Parliament

To be purchased directly from H.M. STATIONERY OFFICE at the following addresses:
Adastral House, Kingsway, London, W.C.2; 120 George Street, Edinburgh 2;
26 York Street, Manchester 1; 1 St. Andrew's Crescent, Cardiff;
80 Chichester Street, Belfast;
or through any bookseller

Price 3d. net